PROJECT LAUNCH PAD

Introduction

- Wet Planet would like to establish a relationship with COTT.
- Project Launch Pad dares COTT to go where it has not gone before.
- Today's agenda will entail both complex and philosophical elements. But to get the ball rolling, we seek your approval on:
  - Three straight-forward brands by virtue of MOU's
  - Establish New Business Unit (NBU), effective 3/1/04
  - Innovations via freelance (retainer) relationship

ALL ABOUT WET PLANET

- Second generation beverage marketer.
- New Age pioneer.
- Integrity…trusted.
- Humble.
- Critically acclaimed: first to unite beer distributor system, served as catalyst to value-added marketing, international success, first consumer good to list website on label, first beverage company to employ virtual store, first to launch an energy drink in the U.S., long list of award-winning packages.
- Currently enjoy relations with 400+ distributors.
- Unwavering passion.
- Prepared to collaborate to achieve broader goal.

ALL ABOUT COTT

- Billion dollar beverage maker with a good record.
- Masters of private label.
- Extraordinary relations with mass merchandisers, national grocers, and large regional supermarkets.
- Core competencies include CSD's and bottled water in standardized packaging… delivering production efficiencies and aggressive pricing to the benefit of large retailers.

MARKET CONDITIONS

- Massive consolidation at distributor and wholesaler levels serve as obstacle for modest brands to reach end users.
- Pepsi announces restructuring. Includes integrated liquid refreshment beverage (LRB) organization. Will make use of hybrid sales and cross-fertilization.
- Cadbury announces restructuring.
- Consumer demand for new product trial and premium beverages are at all-time high.

OBSERVATIONS

- Cott can build on the very foundation it has established.
- New business unit (NBU) is required to maximize focus. Simultaneously, a dedicated team will eliminate dilution of existing human resources or distraction from core competencies.
- NBU is established for both offensive and defensive purposes. More brand equity and greater margins…less commodity and lower vulnerability.

COLLABORATION

- Cott to consider an amalgamation of certain assets that are currently exclusive to each party.
- By virtue of corralling a diverse portfolio, the NBU can achieve break-even status (or better) during the formative years. That said, initial goal of NBU should be innovation and growth…as opposed to impressive bottom line.
- NBU will benefit Cott at large, including expanded relations with core customers, diversification and new levels of trade.
- Accelerated growth applies to Cott's global operations.

WHAT'S IN IT FOR COTT?

With "Project Launch Pad," COTT can easily:

- Secure accelerated growth.
- Become a state-of-the-art beverage company – well prepared for the new century.
- Improve innovation.
- Capitalize on the world's *liquid culture*…and profit from it.
- Diversify into a "Total Beverage Company."
- Sell more products to existing customers – gain greater volume.
- Engage new levels of trade, namely DSD, Cold Drink (single serve) retailers and Food Service.
- Make money three ways: concentrate, production and sales.
- Enter the world of premium beverages…with fat margins.

TOTAL BEVERAGE COMPANY

Total beverage company means huge benefits…few restrictions. Plenty of growth possible within the existing customer base and beyond.

- **Carbonated Soft Drinks**
- **Gourmet**
- **RTD Tea**
- **RTD Coffee**
- **Juice**
- **Cocktail Mixes**
- **Mixers**
- **Smoothies**
- **Energy Drinks**
- **Isotonics**
- **Fortified/Enriched**
- **Children's Drinks**
- **Still Water**
- **Sparkling Water**
- **Enhanced Water**
- **Beer**
- **Wine**
- **Spirits**
- **Flavored Alcoholic Beverages (FABs)**

NEW BUSINESS UNIT

New and dedicated infrastructure serves as a launch pad to facilitate accelerated growth.

I. Cold Drink class of trade
II. Expanded branded portfolio
III. Innovation/New Product Development

I. COLD DRINK CLASS OF TRADE

- Cott to “leapfrog” into cold drink category by collaborating with Wet Planet and forging direct relations with 400 new DSD distributors.
- Dramatically expand Cott’s single serve retail base…pursuing 200,000+ new points of purchase.
- Compete for volume growth in food service.

II. BRANDED PORTFOLIO

- New Age or branded products yield higher revenues and greater profits per case.

- Among the initial brands are: Jolt, Napa Valley Sodas, Ty Nant, Tampico, Stars & Stripes, Fruit Refreshers, etc.

- An evaluation committee and review process will be established to determine strategic additions.









III. INNOVATION / NEW PRODUCT DEVELOPMENT

- The world is Cott's oyster…limitless.
- A new starting point for Cott…that is no longer limited to existing core competencies or mass production requirements.
- Conducting due diligence through integration.
- Freelance entity is nimble. Benefits include shorter product development phase…and accelerates speed-to-market. Also, cost effective!
- Cross-fertilization achieves accelerated growth by expanding existing relations through innovation and diversification. A "Virtual Catalog" for portfolio establishment/portfolio management.
- Growth by virtue of private label, control label, acquisition, licensed and collaboration.
- Improved imagery i.e. website, POS, premiums, etc.

VIRTUAL CATALOG









Benefits:

- Proactive selling
- Expedites product development
- Improved and expanded customer relations
- Facilitates accelerated growth

Note: Innovations Department to update catalog on a regular basis…removing sold concepts and replenishing the catalog with newly created concepts.

Jolt

- Jolt is an American icon. Jolt is an original.
- America's first energy drink.
- Exhilarating beverages have never been more timely.
- The caffeine enhanced category is much larger than energy drinks. Sales of Mountain Dew exceed 600 million cases per annum…as compared to Red Bull's several million.
- Jolt has a consumer awareness level of 93%. In the last three months, Jolt appeared in major motion pictures and five popular TV shows.
- Jolt remains a brand of the future. It is the beverage of choice in the computer industry.

JOLT BATTERY BOTTLE

- A revolutionary new package encompassing aluminum bottle technology.
- The Jolt Battery Bottle will retail for $1.59 per unit.
- Wholesale sales exceed $16 per case.
- COTT gross profit to exceed $2.75 per case on sales to core retailer base.
- Available are four proven flavors, plus an energy drink hybrid named “JOLT ULTRA” that is reinforced with additional stimulants such as guarana, taurine, ginseng, etc.
- At 24 ounces…competing brands in 8.5 oz. and 16 oz. look small and impotent. Yet the battery bottle is not too big. Teenagers drink one liter Mountain Dew.
- The Jolt Battery Bottle fits perfectly in industry-standard gravity feed racks. It has the same critical dimensions (height & width) as 20 oz. PET, thus easy logistics at roll-out.


CCC
COMBO
CAFFEINE
CONTENT
72.5 JOLTS
JOLT
GREEN
CCC
COMBO
CAFFEINE
CONTENT
72.5 JOLTS
JOLT
COLA
CCC
JOLT
BLUE

NAPA VALLEY SODA CO.

- Premium gourmet soda line featuring organic and all-natural ingredients.
- Purchases of organic products in the U.S. will exceed $20 billion by 2005.
- Napa Valley Soda Co. is a brand with an authentic Napa pedigree dating back to 1872.
- Leverage the cachet of Napa Valley…superior imagery, timeless, famous for pristine environment, and high quality lifestyle.
- Possible tie-in with Children's Miracle Network (which also features a hot air balloon logo).
- Brand name lends itself to line extensions.

above the rest...

Soda-licious!

inflate your sales. stock up today!

Napa Valley Natural Sodas

No artificial color or flavor!



Coast-to-coast goodness in six flavors!



Header Card



4-Pack carriers

In the mid-1800's, mineral springs discovered in the rolling hills above Napa Valley were a big crowd draw. "Taking the waters" was a popular pastime back then. Several years later, the proprietor of Napa Soda Springs Resort found a way to add flavor, carbonate and bottle this pristine water. The rest, as they say, is history!

Today Napa Valley Sodas - with all natural and organic ingredients - are soaring in popularity across America. Why? The taste is Soda-licious!

Napa Valley Soda Co. CIRCA 1872

Grow healthy profits...with these natural money makers!

Wet Planet Beverages P.O. Box 25107 Rochester, New York 14625 (585) 381-3560 fax: (585) 381-4025 www.nvsodaco.com

TY NANT

- America has not yet discovered what the International Bottled Water Association (IBWA) declared the gold medal winner.
- Prosper from existing base…and build upward.
- Premium import is separate and new. No cannibalization.
- Added sales and profits.



TY NANT IN PET – PURE BY DESIGN

TY NANT, the premium natural mineral water company famed for its cobalt-blue glass bottle, has created a cutting edge asymmetrical PET bottle specifically designed to invoke the fluidity of water.



The new PET bottle is available in 500ml, 1 liter and 1.5 liter sizes (still only) and will take TY NANT into a range of new trade sectors – the impulse and retail sector, leading grocers, and stylish on-premise outlets such as clubs, café bars and sandwich bars.

Launched in December 2001 at Harrods, and designed by internationally renowned Welsh born designer Ross Lovegrove, this radical visionary bottle is set to appeal to the style set with its unique ripple effect packaging which refracts light and color in the same manner as surface reflections.

TY NANT GLASS RANGE



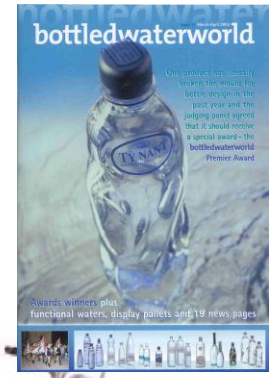
- The leading super premium glass bottled water
- Bought for its stylish good looks
- Highly recognisable combination of color and shape
- A trade mark with iconic status
- Ideal accompaniment to a meal in stylish surroundings
- Excellent stand out encourages interest and trial
- Still and sparkling in 750ml, 330ml, and 250ml sizes

TY NANT AWARDS

Awards

1989 British Glass – First Glass Award For Design Excellence
1991 British Glass – First Glass Award For Design Excellence
1991 ADAS (Wales) – Food marketing Award
1992 ADAS (Wales) – Food marketing Award
1996 The Council of Russian Designers 1st Prize
2001 The Shine Awards – Non Alcoholic Beverage
2002 Bottledwaterworld Design Awards - The Best Overall Concept
2002 Bottledwaterworld Design Awards – Premiere Award for outstanding Design
2002 Creer Packaging Awards Paris – Premier Award
2003 British Bottlers Institute – Gold Award
2003 British Bottlers Institute – Silver Award
2003 British Bottlers Institute – Diploma





















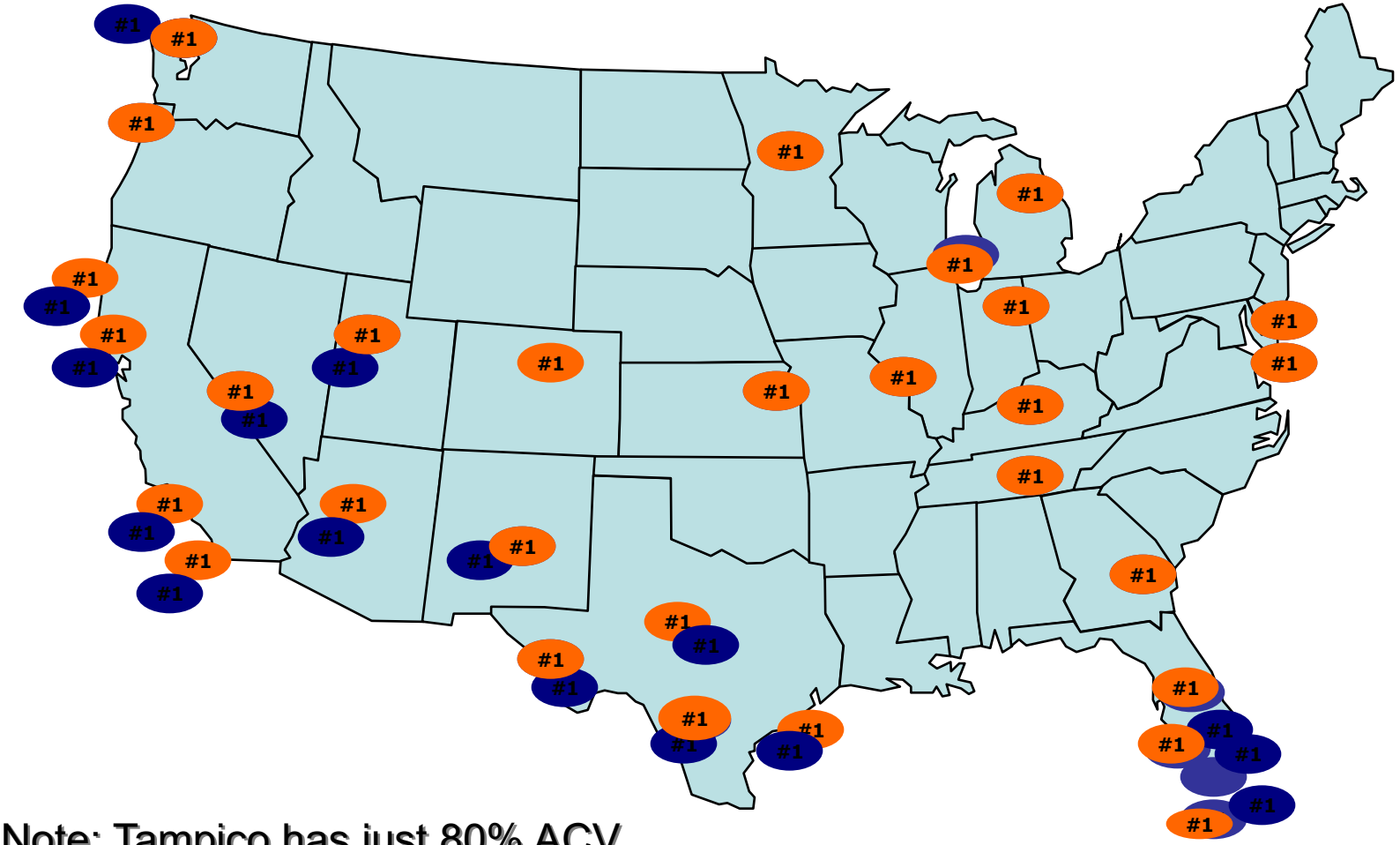
Tampico

- Tampico is the #1 Juice Drink brand in the US with a 24% share of the Refrigerated Juice Drink category.
- Cott engages exploding Hispanic population throughout U.S.
- Tampico is the #2 brand in Mexico and Brazil.
- Tampico is the highest indexing brand of non-carbonated beverages among Hispanics, with an index of 278.
- Current global volume exceeds 37 million gallons.
- Proposed package formats 8.4 oz pet, 4 pack 12 oz Can, 20/24 oz pet and 2 liters pet.

Tampico is a Leader Among Juice Drinks

#1 ***Tampico is the Leading Juice Drink Brand in 17 markets.***

#1 ***Tampico Citrus Punch 128oz is the Leading Branded Juice Drinks sku in 31 markets.***


#1
#1
#1

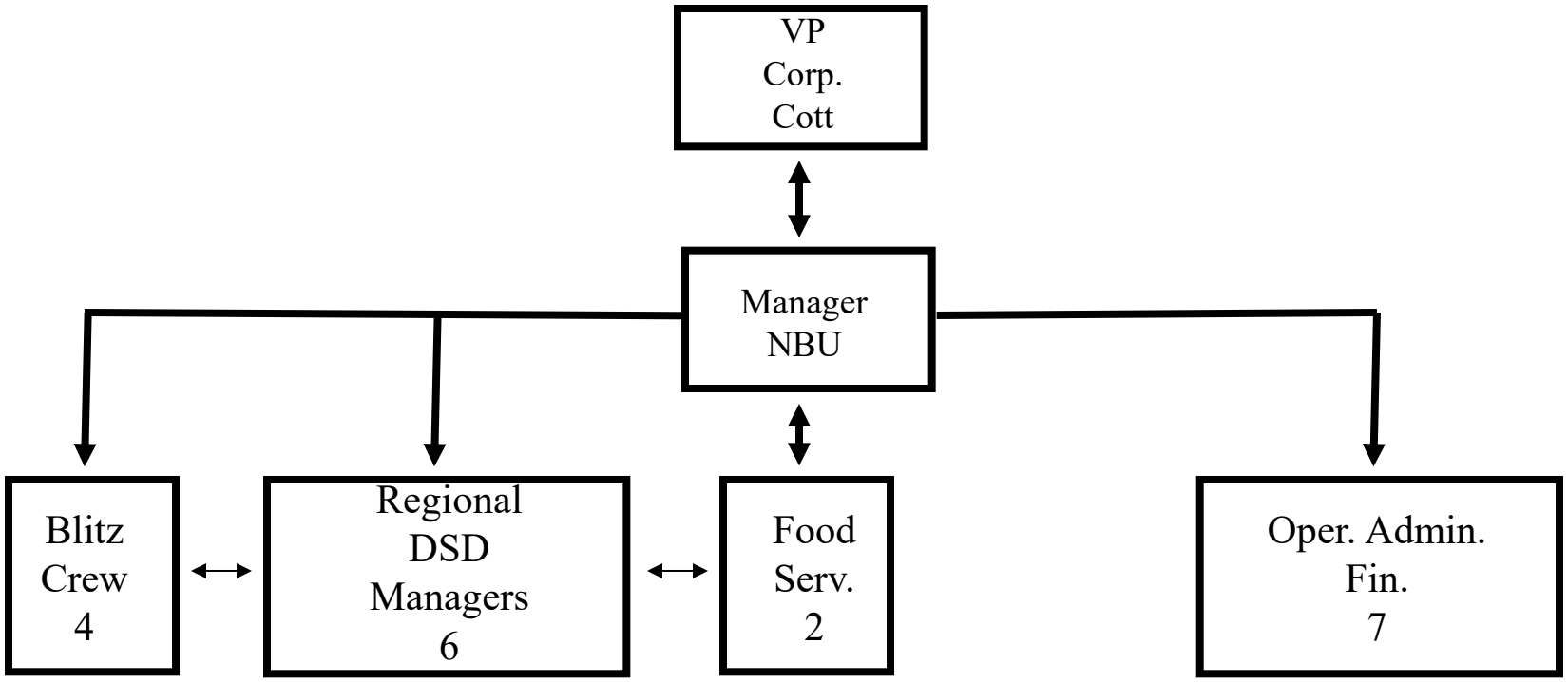
VALUE BRAND(S) – COLD DRINK

- Gain incremental volume through sales to independent distributors all across the U.S.
- There exists an opportunity to create a nationally distributed DSD value brand.
- Help to compete against regional value brands owned by competing beverage companies.

FRUIT REFRESHERS/SPARKLING WATER

- Use of Wet Planet's proprietary 20 oz. PET bottle is a better option than the currently utilized straight-wall package.
- Create premium imagery for brands Vintage, Clear Choice and Tampico.
- Generating sales of these brands in the proprietary package in the single serve class of trade will enhance retail sales and profit margins (a.k.a. cross-fertilization).

First year operating structure



NBU STAFFING/BUDGET (000)

Operations Manager	85
Controller	45
Buyer	40
Book-keeper	30
Sales Administration	35
Graphic Designer	40
Admin. Assist.	25
Subtotal	300
FICA/Health Benefits (20%)	60
Total	360

First year operating budget

Description	Per Annum $	Cumulative $
1 Director Cold Drink	150,000	150,000
6 Salespersons-DSD	470,000	620,000
2 Salesperson-Fd. Serv.	150,000	770,000
Blitz Team (4 persons)	150,000	920,000
Travel & Entertainment	450,000	1,370,000
Product Development	120,000	1,490,000
Brand Expenditures	200,000	1,690,000
Oper. Admin. Fin.	360,000	2,050,000
Office Supplies/Phone/Misc.	50,000	2,100,000

Year 1 Proforma - Sales and GP (000)

Description	Case Sales	Cumulative Case Sales	Revenues per Case	Revenues Subtotal	Cumulative Revenues	Gross Prof. per Case	Gross Prof. Subtotal	Cumulative Gross Prof.
Jolt – DSD	300	300	$15	$4,500	$ 4,500	$1.00	$300	$ 300
Jolt – Retail	150	450	$15	$2,250	$ 6,750	$2.75	$412	$ 712
Jolt – Fd. Ser.	50	500	$15	$ 750	$ 7,500	$2.75	$138	$ 850
Napa Val. – DSD	100	600	$11	$1,100	$ 8,600	$1.00	$100	$ 950
Napa Val. – Retail	100	700	$11	$1,100	$ 9,700	$1.50	$150	$1,100
Napa Val. – Fd Ser	50	750	$11	$ 550	$10,250	$1.50	$ 75	$1,175
Ty Nant	100	850	$12	$1200	$11,450	$1.50	$150	$1,325
Tampico	500	1350	$ 5	$2,500	$13,950	$ .75	$375	$1,700
Value Brands	200	1550	$ 4	$ 800	$14,750	$ .50	$100	$1,800
Vintage	100	1650	$ 8	$ 800	$15,550	$3.00	$300	$2,100

Summary: Case sales of 1.65 million, Revenues of $15 million, Gross Profit of $2 million, Operating Expense of $2.1 million, Net Profit = break even.

CRITERIA FOR POTENTIAL BRANDED PRODUCTS

- Newly considered branded products will not conflict with Retailer Brands.
- To be considered are stand-alone brands with equity and strong upside potential.
- Branded products can include acquisitions, licenses or collaborations.
- Taking into consideration Cott's new ability to execute in multiple levels of trade, sales of branded products can be maximized through use of cross-fertilization.
- There exists an abundance of undervalued brands due to current market conditions. Big opportunity for Cott!

EMERGING INDEPENDENT DISTRIBUTOR

- Cott's initiative, presence, commitment and "corralled mass" will serve as a catalyst to new distributor start-ups…and expanded non-alcohol portfolios among beer wholesalers.
- The final frontier for brand owners and distributors alike.
- Create turnkey system (computers, reporting, trucks, supplies, staffing, etc.).
- Appoint Manager of Franchise Development.

PUBLIC RELATIONS

- Pursue worthy public relations…particularly within the beverage industry.
- NBU is promising to all participants in the industry…other than Coke, Pepsi and Cadbury.
- PR will enhance four core functions:
  - Gets Cott Corporate in the news.
  - Core retail customers become excited over Cott's commitment to innovation.
  - Enhances innovation, interested parties come to us.
  - Distributors, both start up and existing, come to us.

SUMMARY BENEFITS

Through "Mission Launch Pad", COTT can…

- Achieve accelerated growth.
- Diversify portfolio to the benefit of core retailers.
- Sell more products to existing customers – gain greater volume.
- Expand customer base.
- Engage new levels of trade, namely DSD and Food Service.
- Profit three ways: concentrate, production and sales.
- Enter the world of premium beverages…with "fat" margins.
- Improve innovation.
- Become exciting, topical and newsworthy.
- Enhance shareholder value.

VALUE ADDED BENEFITS

- Use of Wet Planet Proprietary (Multi Layer) 20 oz. PET Bottle.
- Vision & Planning (2 years, lifetime experiences)
- Knowledge
- Trained Personnel
- Time…Immediacy
- Industry Goodwill
- Trade Show Seniority (NACS, ANUGA)
- Office
- Equipment
- Reporting
- PR…it's news. Exposure ties everything together.



Call to Action

- Sign MOU's
- Integrate appropriate personnel to Cott effective 3/1/04
- Establish Innovations Retainer effective 3/1/04
- Meet Ty Nant
- Establish 90 day agenda
- Schedule key meetings
  - Department Heads
  - Financial Closing/New Banking
- Implement "Virtual Catalog
- Implement PR campaign

